

# TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

Term Sheet · Parties: Party A, Party B

61

**HIGH** Risk Score

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Synth is not legal advice or financial advice. It is a document review aid. Consult a qualified professional before making decisions.

## EXECUTIVE SUMMARY

This Term Sheet has been reviewed by Synth in mock mode. The document contains several clauses that warrant attention, including payment terms, termination provisions, and liability limitations. This is a demonstration analysis — no actual AI analysis was performed. Review all findings with a qualified professional.

## KEY TERMS

| FIELD         | VALUE                                                                                                                                                                                                               |
|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Payment Terms | Not found in the document.                                                                                                                                                                                          |
| Renewal Terms | Not found in the document.                                                                                                                                                                                          |
| Termination   | termination of negotiations by Lead Investor, the Company agrees not to solicit, negotiate, or enter into discussions with any other potential investor regarding a financing transaction without Lead Investor's p |

|                 |                                                                                     |
|-----------------|-------------------------------------------------------------------------------------|
| Governing Law   | GOVERNING LAW                                                                       |
| Liability       | Not found in the document.                                                          |
| Indemnification | Indemnification provisions present. Review scope and carve-outs with legal counsel. |
| Confidentiality | Not found in the document.                                                          |

## KEY DATES

| DATE         | DESCRIPTION      |
|--------------|------------------|
| See document | Effective Date   |
| See document | Initial Term End |

## RISK MATRIX

### HIGH Unilateral Modification Rights

**Why it matters:** Material terms could change after signing without recourse.

Provider may be able to modify terms without customer consent.

*"Not found in the document."*

**Suggested next step:** Request a mutual written amendment requirement.

### HIGH Limited Liability Cap

**Why it matters:** Company may have no meaningful recourse for serious failures.

Liability may be capped at a small fraction of potential damages.

*"Not found in the document."*

**Suggested next step:** Negotiate a higher cap and carve-outs for willful misconduct.

### MEDIUM Auto-Renewal with Short Notice

**Why it matters:** Missing the notice window locks in another full term.

Agreement auto-renews unless cancelled within a specific window.

*"Not found in the document."*

**Suggested next step:** Calendar the cancellation deadline immediately.

## MISSING & UNUSUAL CLAUSES

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### MISSING CLAUSES

- Force majeure clause (not clearly present)
- Data processing agreement / GDPR addendum
- SLA / uptime guarantees

### UNUSUAL CLAUSES

- Unilateral modification rights may allow changes without consent
- Review auto-renewal notice window carefully

## ACTION ITEMS

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1. Review all payment and fee terms with finance team
2. Calendar all notice and cancellation deadlines
3. Have legal counsel review liability and indemnification provisions
4. Request data processing agreement if applicable
5. Verify governing law is acceptable for your jurisdiction

## CITATIONS

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### Mock Mode Notice

*"This analysis was generated in mock mode. No AI provider was used."*

*All findings are illustrative. Run with a real provider for document-specific analysis.*

